

Contestant Number: _____

Time: _____

Rank: _____



FINANCIAL AUDIT

(170)

STATE 2021

FINAL

Presentation Points _____ (140 points)

Specification Points _____ (20 points)

TOTAL POINTS _____ (160 points)

Preparation Time: 20 minutes

Description

Competitors will conduct analysis of a case study that highlights an issue discovered during a financial audit and prepare a recommendation based on Generally Accepted Audit Standards (GAAS).

STATE Final Scenario

You are the lead auditor on the engagement for Dalton Inc., who manufactures tires. Dalton's year-end was September 30; it is now December 3 and the audit is expected to be completed and signed by next week. You are aware of an accident that happened at the factory in October, which involved a forklift puncturing a hole in a drum used to store waste. Production was halted while the accident was cleaned up. However, you have just become aware that some of the waste leaked into a local river. The Environmental Protection Agency is currently investigating to determine whether the release of the waste was a violation of environmental laws. Dalton's management has not commented on the event, nor have their insurers. As the auditor, what is your responsibility with regards to this new information?

A contestant will be DISQUALIFIED for violations of the Copyright and Fair Use Guidelines.

Contestants who do not submit an entry that follows this topic will be disqualified.